

Life Insurance Corporation of India

LICI · Financials / Life Insurance

ROE

49.45%

ROCE

56.97%

Net Profit Margin

4.84%

D/E

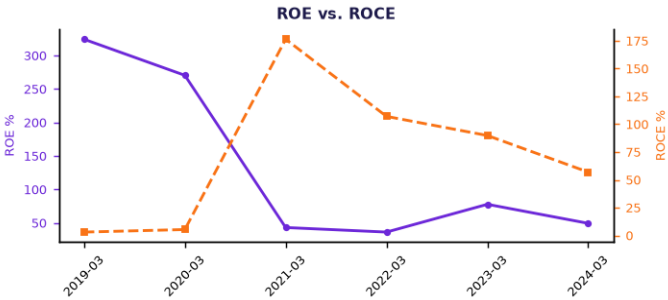
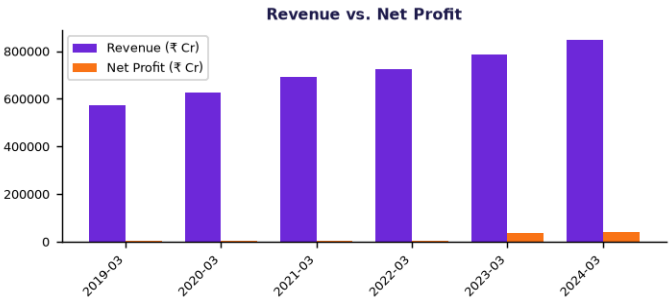
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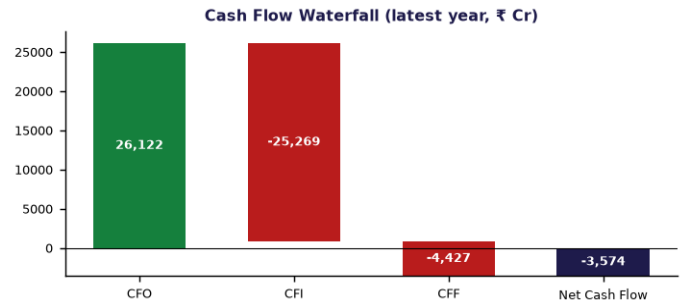
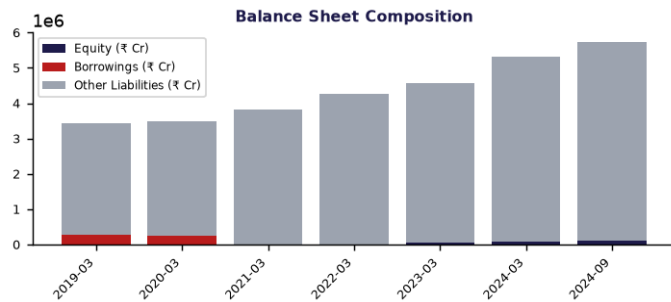
Revenue CAGR 5yr

8.16%

FCF (Rs. Cr)

853





Pros

- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency (100% confidence)
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (100% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (100% confidence)
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Consistent dividend yield above 2% backed by positive free cash flow (84% confidence)

Cons

- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (60% confidence)

Capital Allocation Pattern: **Reinvestor**